

CORPORATE GOVERNANCE, FINANCIAL LEVERAGE AND PERFORMANCE OF PRIVATISED FIRMS IN VIETNAM

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Abstract – This paper investigates the role of corporate governance and financial leverage on performance of privatized firms in an emerging market. We employed hierarchical regression approach to measure direct effect and moderating effect of corporate governance on the relationship between financial leverage and firm with the firm-level dataset from Vietnam in 2013. We found the positive effect of low level of debt the privatized firm and negative impact of the proportion of Non-Executive Directors (NEDs) on Board on firm performance. We also explored that the higher proportion of NEDs on Board would strengthen the negative association between financial leverage and firm performance. Based on the findings, several implications are extracted regarding privatization policy for an emerging market economy.

Keywords: non-executive directors, corporate governance, financial leverage, firm performance, corporate finance, Vietnam

1. INTRODUCTION

Following the collapse of socialist country block from Eastern Europe in late 1980s, the world has witnessed strong tendency of privatization among not only socialist countries in but also in capitalist countries where always exist the skepticism and lack of confidences in efficiency of state run sectors. Despite expected efficiency enhancement for the economy brought by narrowing state- own sectors, privatization of state own sectors without appropriate governance could lead to leakages of state's assets and turmoil. In a study of privatization in China, Guo & Yao (2005) reported several severe outcomes (e.g. losses of \$76 billion of China's industrial enterprises reported by the Chinese government's State Statistics Bureau in 1992) due to much government intervention and political anxiety (Overman, 1995; Sjöholm, 2006). Similarly, privatization in Russia also faced with difficulties relating to state management (e.g. state managers perform insider trading to obtain personal benefits) and political instability (e.g. power separation,

elections, etc.) in improving the performance of privatized firms (Sjöholm, 2006). This raises a question of the impact of managerial and legal system on the efficiency of privatization process in transition economies.

Theoretically, privatization is a process of transferring the State-Owned Enterprises (SOEs) into new types of ownership (Dharwadkar, et al., 2000). The involvement of foreign investors, local institutional individual investors, managers, employees, the State into the ownership structure of the companies is worth discussing for the companies' coming performance after privatization (Djankov and Murrel, 2002; Johnson 1988). As expected, the companies could boost their capital investment and involvement of private sector in more open market economies, increase competitiveness and efficiency in the market and generate more revenues for the government (Overman, 1995). Another aim of privatization worth noting is to alter managerial methodology. By involving several outside owners into the company's ownership, it is expected to change and enhance the supervisory and managerial mechanism in those companies by the skills and knowledge of those new participants (Pfeffer, 1972).

However, the process also bears costs for some stakeholders. The costs of re-structuring workforce and agency problem (i.e. interest conflicts between shareholders and managers) are highlighted examples. Usual agency costs, including bankruptcy costs, rise as the leverage increases. Although it is appreciated that using of debts is cheaper than equity, if the proportion of debts in the corporation's capital structure exceeds the optimal point, it will definitely raise the cost of capital and then reduce financial performance of the company (Watson and Head, 2013). In case of existing a good corporate governance mechanism and mature legal regime as in the developed markets, the agency problem after privatization can be minimized and then the use of leverage will be more efficient (Ferri & Jones, 1979; Jensen, 1986). Thus, it can be argued that the roles of corporate governance and legal regime in the process of privatization are of importance in determining the impact of that process into the firm performance. Otherwise, the emerging markets are characterized as a weak corporate governance mechanism and immature legal regime attributes (Puffer & McCarthy, 2003), the application of those findings into emerging markets is still questioned.

From managerial perspective, the vast majority of Board of Directors has been the members retained from SOEs after privatization. It lacks the new outside participants who are

creative, knowledgeable and more sensitive to the current market conditions (Bhagat & Black, 1997). It leads to slowly respond to market changes and keep an old mind-set in managing the company (Chu, 2010). *For the financial aspect*, even though they have advantages of an ease to approach a huge number of financial sources predominantly due to the government supports, to what extent the companies' financial leverage should reach is worth asking (Le & O'Brien, 2010). Additionally, undertaking privatization in a very new economic regime (i.e. market-oriented economy driven by the attributes of socialism) does not have relevantly previous experience, so it can be seen a tough challenge for those companies, especially the managers, to deal with (Boycko, et al., 1996). From all discussion above, it is worth concerning about the effectiveness of using financial leverage and how well it is managed by the current organizational structure in privatized firms in the context of transition economy. However, to our knowledge, such a study is scant.

To bridge this void, the study will introduce the notion of financial leverage alongside with the proportion of Non-Executive Directors on Board as predictors of performance of privatized firm in Vietnam. We also examine the potential moderating influence of proportion of Non-Executive Directors on Board in strengthening the link between financial leverage and Vietnamese privatized firm performance.

The empirical setting of Vietnam for this study is timely bearing in mind the level of economic development and optimism surrounding this market as where the privatization has been intensively implemented (Pham, et al., 2016). It officially started in 1992 with some remarkable achievements: reduction of public sector deficit, coherent corporate strategies and enhancement of firms' efficiency and productivity toward value-maximization-goal. However, the state ownership is still dominant in most privatized companies (Chu, 2010). There were 3,786 SOEs were privatized until the end of June 2008 with the charter capital of \$6.5 billion. It comprises of 50% hold by the state, 39% by outside investors and 11% by the employees (Vo, 2012). In other words, it lacks the new outside participants who are creative, knowledgeable and more sensitive to the current market conditions (Bhagat & Black, 1997). It leads to slowly respond to market changes and keep an old mind-set in managing the company. Besides the significant involvement of state ownership, the privatized firms still deal with the risk of legal immature and political uncertainty. Thus, it sounds to study the moderating impact of governance mechanism and legal framework instability on the financial leverage and privatized firm performance in Vietnam.

We expect this study to provide fresh insights relating to the role of financial leverage in performance of privatized firms in transition economy which has not previously been considered in the literature. The paper contributes to the corporate governance literature by responding to the call exploring how agency theory applies across varying institutional contexts (Dharwadkar, George and Brandes, 2000). They also state that existing theories can be refined when they are applied to specific contexts. The arguments for the implication of the relationship among ownership structure changes, financial leverage and firm performance under corporate governance and legal system in privatization process in emerging markets would be completed. The paper also provides some managerial implications relating to privatization of SOEs in transition economies.

2. LITERATURE REVIEW AND HYPOTHESIS DEVELOPMENT

In the context of emerging markets, Dharwadkar, George and Brandes (2000) study that there are three main changes, namely ownership, management and corporate structures, which need to pay attention after privatization (Figure 1). It was theoretically studied that those changes have impacts on the performance, both financial and operational, of privatized firms in the emerging markets, but it is not empirically tested (Le, 2011). Although this research only predominantly focuses on corporate structure (i.e. capital) and management one (i.e. top management composition) due to time limitation, the understanding of ownership changes is essential to fundamentally criticize some problems relating to those two aspects.

For the establishment of new ownership forms, Dharwadkar, George and Brandes (2000) state that privatization is the process of transferring from SOEs into several types of owners regarding different economic contexts. For emerging markets, there are six types of ownership formed: (1) foreign investors, (2) local institutional investors, (3) local individual investors, (4) managers, (5) employees, (6) the State (Djankov and Murrel, 2002; Johnson, 1988). That reformation is expected to bring updated managerial skills, expertise and an ease of approaching to new financial resources from capital market (Sjöholm, 2006). However, that change of ownership structure probably could lead to agency problems defined as the interest conflicts between principals (i.e. shareholders) and agents (i.e. managers) or shareholders and debt holders (Jensen & Meckling, 1976) due to different objectives, risk perception, time horizon (Rediker & Seth, 1995); existence of asymmetry of information and weak corporate governance mechanism (i.e. internal control) (Watson & Head, 2013). Particularly, equity finance is preferred to use by the managers rather than debt finance, even though equity finance is more expensive than debt

finance, since lower interest payments mean lower bankruptcy risk and higher job security (Watson & Head, 2013). In some practical cases, the managers probably try to manipulate the capital structure of the company to secure their benefits if the corporate governance mechanism is weak and less transparent (Watson & Head, 2013). Thus, it is worth discussing about the capital structure after privatization affecting on firm performance with regard to the corporate governance institutional context.

Besides, the changes of capital structure and top management composition are as the results of the new shareholders involvement. Noticeably, those equitized firms taking the advantage of an ease to access to various financial resources to restructure their capital combination after reformation (Sjöholm, 2006). This can be considered as a significant competitiveness of the equitized firms compared to the private ones in such highly competitive and market-based economies. However, whether or not those financial resources are effectively utilized is still in debate, especially in emerging markets (Sjöholm, 2006; Chu, 2010). In fact, the use of debt finance is rational and effective only if it is put under a good corporate governance mechanism (Dharwadkar, et al., 2000). Besides, the privatization also occurs an involvement of more new outside directors on Board. They are not only expected to bring their expertise and competitive skills but also enhance the Board's transparency (Dharwadkar, et al., 2000). It appears useful to solve the agency problem arising from the ownership and management dilution after privatization.

Weak governance context in emerging markets

The critical role of effective governance in addressing the association among capital structure, top management composition and firm performance has been appreciated by many researchers (Dharwadkar, George and Brandes, 2000; Peng, 2004). According to Dharwadkar, George and Brandes (2000), traditional theories are fairly rational in developed economies, where efficient legal systems and strong governance context are taken. Nevertheless, most emerging economies possess the characteristics of imperfect legal systems which might not be able to protect the rights of minority shareholders and debt-holders in many circumstances (Sarkar & Sarkar, 2008). Particularly, even in economies with emergence of tight legal regulations, the ineffective enforcement of law is still an enormous problem. Therefore, the rationale and arguments of the study are considered in light of Vietnam's weak corporate governance.

Practically, there is no direct law regulating about corporate governance in Vietnam (Hoang & Le, 2013). It is proportionately governed under Law on Enterprise 2005, Law on Security 2006 and the Circular No. 121/2012/TT-BTC. However, it is more likely evident in rules rather than application and implication (Anon., n.d.). Indeed, Law on Enterprise 2005 regulates the governing system of a shareholding company should comprise of General Meeting, Board of Directors, Chief Executive Officer and Inspection Committee. Meanwhile, Circular 121 predominantly focuses on shareholders' rights and the required presence of non-executive directors (i.e. one third of total Board members) to enhance the Board independence. Otherwise, it must be appreciated limitations, such as incomprehensive clarification between non-executive directors and independent ones, the requirement of comprising independent directors on board just applicable for financial firms and no authorized agents responsible for governing the regulation compliance (IFC, GCGF and SSC 2012). Those limitations results in such a weak corporate governance context in Vietnam. Consequently, it probably creates opportunities for managers to capture those loopholes of the regimes to manipulate the information of business operation. It seriously impacts on shareholders' interest, especially the minority shareholders (Tran, 2007). In such a weak governance context, the rationales for the use of debts in emerging markets can be reasonably applied into the institutional context of Vietnam.

Financial leverage and firm performance relationship in emerging markets

In developed economies, there are various studies about critical roles of debts in business operation which is considered as double-edged sword (Jensen, 1986; Sarkar and Sarkar, 2008; Dharwadkar, George and Brandes, 2000; Le and O'Brien, 2010). Conceptually, financial leverage is defined as an extent to which a business relies on borrowed capital (Raymar, 1991). For the negative side, debts obligate firms to make periodic interest payment which limitates available cash for the business's operations (Sarkar & Sarkar, 2008). Moreover, it is tough to obtain additional debts in case of high leverage due to highly risky appreciation from other lenders (Le & O'Brien, 2010). As a result, the shortage of available cash could miss some profitable investment opportunities which definitely generate incremental value for the corporations. Furthermore, usual agency costs, including bankruptcy costs, rise as the leverage increases. Although it is appreciated that using of debts is cheaper than equity, if the proportion of debts in the corporation's capital structure exceeds the optimal point, it will definitely raise the cost of capital and then reduce financial performance of the company (Watson and Head, 2013).

Looking at the other side, the employment of debts is expected to minimize agency costs of free cash flow (Jensen, 1986). Indeed, the debts probably reduce the free cash flow of the company due to its compulsorily periodic interest payment commitment. Consequently, it may not only prevent the managers from freely investing into unfavorable projects (Ferri & Jones, 1979) but also bond the promise of future cash flow payment as a sort of dividends (Jensen, 1986). The reduction of free cash flows by utilizing debts is expected to harmonize the agency problems and it is theoretically supported by "*control hypothesis*" and "*free cash flow theory*" proposed by Jensen (1986). All discussed advantages of employing debts are considered as mechanism governing the probably severe outcomes of separation of ownership and control after privatization. Those advantages let the debt mechanism have positive effect on financial firm performance (Jensen, 1986; Raymar, 1991; Dharwadkar, George and Brandes, 2000; Sarkar and Sarkar, 2008).

However, debts tend to have more negative impacts on financial firm performance in emerging market (Dharwadkar, et al., 2000). It is inapplicable for emerging economies due to their distinctive characteristics in term of corporate governance mechanism and legal regime. For macroeconomic approach, it witnesses a weak governance mechanism and ineffective legal regimes which protect the rights of minority shareholders (Djankov & Murrel, 2002). In fact, although there is an existence of bankruptcy laws, bankruptcy may slightly impact on its managers as well as the firm (Dharwadkar, et al., 2000). Thus, the managers do not put all their efforts and cautiousness to effectively allocate the financial resources that maximize the shareholders' wealth. Besides, the debts appears ineffective to act as a disciplining mechanism in most emerging markets characterized by inefficient capital markets (Puffer & McCarthy, 2003) and passive takeover markets (Day & Taylor, 2004). In other words, debt mechanism in emerging markets is not effective in solving agency problems (Dharwadkar, et al., 2000). Therefore, it is sound to propose that in the context of emerging markets, lower level of leverage will probably lead to higher firm performance.

Hypothesis 1: *In emerging market, privatized firms with higher financial leverage will have lower financial performance*

Non-Executive Directors on Board and firm performance relationship in emerging markers

There are various views toward the definition of corporate governance. According to John and Senbet (1998), corporate governance is a system by which a corporation's stakeholders (e.g.

creditors, shareholders or government) exercise the control over the corporate management and corporate insiders to protect their interests. Similarly, Shleifer and Vishny (1997) state that corporate governance is probably seen as a mechanism which induces the company to do their accountabilities to all stakeholders. Those clarifications are based on economic interests of the participants while Peng (2004) studies it as the system of rules, disciplines, laws and factors that put the corporation's operations in effectively controlling and well running. It highlights the important roles of Board of Directors, Board of Supervisors and internal auditors. Looking at the context of SOEs after privatization, the change in ownership structure probably moderates the composition in Board of Directors (Dharwadkar, et al., 2000). In this research, corporate governance regarding the roles of Board of Directors will be discussed in light with the rationales of debt employment of the privatized firms in Vietnam.

In most researches, the terminology *outside directors* and *non-executive directors* are interchangeably employed with the same meaning of non-management directors on Board (Jensen and Meckling, 1976; Shleifer and Vishny, 1997; Peng 2004). Functionally, they are responsible for supervising the general performance of the executive directors and Board as well (Mura, 2007). Additionally, Mura (2007) also states that those outside directors usually work as part time, so they probably sit in several Boards and are paid less than executive ones. Thus, it is expected to be able to enhance the sense of Board independence in supervision and decision-making (Peng, 2004).

There are three main theories related to the role of NEDs in determining firm performance worth noting. First, Agency theory mainly discusses the separation of ownership and control potentially leads to "*self-interested actions by managers*" (Jensen & Meckling, 1976). Regarding agency theory, it appears sensible to combine a vast majority of NEDs on Board (Jensen and Meckling, 1976; John and Senbet, 1998; Chen and Huang, 2014). With the sense of independence from the management, they are expected to well perform their role of supervising and controlling the managerial activities as well as act as independent decision makers. Literally, it appears supportive to adress the agency problems caused by self-interested behaviors of the managers from the ownership and control separation in most privatized firms. Thus, it may help firm performance be improved (Jensen & Meckling, 1976). Besides, it is of importance for NEDs to maintain their reputation for other outside directorships, so they have more incentives to appropriately behave on the behalf of shareholders' interest (Fama & Jensen, 1983). Optimistically, if those NEDs well perform their roles of monitoring and controlling in Board, the business management will probaly

have profitable investment selection, optimal strategies to reduce manufacturing costs or even managerial cost saving by minimizing agency problems (Shleifer & Vishny, 1997). It definitely results in a better firm performance in general.

Second, while the agency theory focuses on the monitoring role of NEDs to solve the agency problems, utilizing the resources contributed to the Board by NEDs is predominantly discussed by resource dependence theory. Regarding this perspective, the Board seems to extract resources from the outside environment via NED mediation (Pfeffer, 1972). Indeed, a wide network and expertise of those NEDs are expected to help the company in strategic decision-making process (Westphal, et al., 1997), timely and effectively acquire the necessary information and easily approach broader sources of finance in the markets (Peng, 2004). Particularly, the values created by resources available from outside relationships and information could help the firms obtain favorable loan terms, such as lower interest rate, larger loans and longer maturities of loan contracts (Chen & Huang, 2014). Those advantages let the firms have more available finance to invest into some favorable projects as well as get loan interest payment saving competitiveness in comparison with other peers in the markets. Consequently, it generates higher returns and improves the general firm performance. What is more, Stewardship theory is generally opposite to agency theory (Davis, et al., 1997). It predominantly focuses on the structure of Board and whole organization with the purpose of facilitating and empowering the managers. The underlying rationale for this theory is the belief of no existence of interest conflicts between owners and managers. Thereby, the theory argues that it appears essential to construct an organizational structure to allow coordination among them to be achieved more effectively (Donaldson & Davis, 1991). It also studies that the managers are seen as stewards who have a tendency to work for maximizing profits and shareholder return (Davis, et al., 1997). Reasonably, they are assumed to behave on the owners' interest because they work for organizational ends, which make their personal interest be covered (Caldwell, et al., 2010). Thus, the roles of monitoring and controlling of NEDs seem to be ignored in this theory and have no impact on firm performance.

Otherwise, with the sense of weak governance as in Vietnam, the probability of interest conflict among owners and managers is very high (Chu, 2010). Besides, the organizational structure in emerging markets is ineffective due to immature related laws and regulation in managing organization (Hoang & Le, 2013). The low Board's transparency and disclosures and

corporate-governance-related legal loopholes creates many opportunities for managers to manipulate the business operations (Chu, 2010). Reasonably, it sounds to propose that:

Hypothesis 2: *In emerging market, privatized firms with higher proportion of NEDs on Board will have lower financial performance*

The relationship among financial leverage, corporate governance on board and firm performance in emerging markets

The discussions about the interference of debts and corporate governance are theoretically derived from the interest alignment between Board and shareholders (John & Senbet, 1998). As discussed above, debt mechanism may not effectively work in emerging markets due to weak corporate governance and immature legal regime (Sarkar & Sarkar, 2008). Otherwise, the managers will be more careful and rational in making investment decisions by utilizing debts only if it is put in a well monitored mechanism (Day & Taylor, 2004). It is going to ensure the managers will behave on the behalf of shareholders. Theoretically, the sense of Board independence is expected to act as such an effective mechanism in most emerging economies (Bhagat and Black, 1997; John and Senbet, 1998). One of the factors driving that characteristic of Board is the presence of NEDs. Particularly, the desired performance of independently monitoring role of NEDs is expected to govern and ensure the transparency and effectiveness of the debt usage (Peng, 2004; Mura, 2007). Consequently, the rational use of debts will definitely result in improving firm performance. Although the higher proportion of NEDs on Board is, the more independent the Board is, it is necessary to pay attention on the maximum number of NEDs on Board as studied by some researches (Hoang and Le 2013). However, the actual role of monitoring in emerging market appears ineffective probably due to lack of expertise and immature organizational structure. It is also seen as an obstacle for business operation. Thus, it is sensible to hypothesize that:

Hypothesis 3: *In emerging market, privatized firms with higher proportion of NEDs on Board will strengthen the negative relationship between financial leverage and firm performance.*

3. METHODOLOGY

Estimation method

To test our hypotheses, we used conceptual model proposed by Baron & Kenny (1986) (Figure 2) and hierarchical moderated regression (Aiken and West, 1991; Jaccard, et al., 1990).

All control variables would be entered into the regression equation in Step 1. The independent variables (e.g. Debt-to-Equity ratio, the proportion of NEDs on Boards) were then included in Step 2. Finally, the interaction term composed of Debt-to-Equity and the proportion of NEDs on Board ($D/E \times NEDs$) was put into Step 3. Mean centred scores for the main effect variables and the moderating variable i.e. relational capability were used to eliminate the possibility of multicollinearity (Aiken & West, 1991). We tested for the moderating effects by examining the beta-coefficients of the interaction terms, their significance, as well as the change in the adjusted R² attributed to the interactions (Jaccard, et al., 1990).

Variable measurements

Dependent variable - The employed dependent variable in the study is *financial firm performance*. It is measured by using Return-on-Equity (ROE). Although there are several approaches to measure financial firm performance: Return-on-Assets (ROA), Return-on-Equity (ROE) and Return-on-Sales (ROS) (Peng, 2004; Mura, 2007; Le and O'Brien, 2010; Hoang and Le, 2013), only ROA and ROE have been intensively used in the transitional economies context while ROS is slightly ignored due to its correlation to market share (Chen, 2014). Otherwise, the market share in the emerging economies regularly fluctuates due to less authorized regulations and a popular existence of free-rider in the markets (Chen & Huang, 2014). Thereby, ROS appears inappropriate for the context of emerging ones. Besides, ROE is preferred in this paper. Regarding Decree No.58/2012/ND-CP signed by Vietnamese Prime Minister in 2012, a certain firm's ROE must be equal or greater than 5% in the previous year to qualify for a new listing. For the already listed ones, they need to maintain their ROE positive in one of three every consecutive years to remain their listing. Meanwhile, ROA is ignored in the listing requirements. What is more, Peng (2004) states that agency theory mostly concern about ROE for firm performance. In this paper, most of the arguments are based on the agency theory, so ROE is more applicable to the study.

Independent variables - Two independent variables were used in the study: financial leverage (*predictor*) and corporate governance (*Moderator*). First, financial leverage is measured by Debt-to-Equity ratio (i.e. dividing total liability by shareholders' equity excluding preferred shares). Furthermore, the use of Debt-to-Equity ratio will be consistent to the use of ROE as dependent variable. Both base on the total equity excluding preferred shares, so they are what the shareholders really concern if basing on the shareholders' point of view (Le, 2011). Second, the

proportion of Non-Executive Director on Boards (NEDs) is as a proxy for corporate governance measurement. NEDs are central to Board effectiveness measuring the quality of a corporate governance mechanism (Bhagat & Black, 1997). It was obtained by dividing the number of NEDs on Board to the number of Board's members

Control variables - For the privatized firms, different industries will have different level of state intervention, which acts as a helping hand to the firms' operation (Le & O'Brien, 2010). For instance, they have an ease of approaching to debt financial sources from banks with favorable policies (e.g. low interest rate, longer maturity, etc.) (Ferri and Jones 1979, Jensen 1986). Similarly to the effect of firm size, the difference of industries, therefore, varies the level of financial structure and profitability. Le and O'Brien (2010) also suggest to control industry variable as a dummy one. In fact, dummy variable is an artificial variable created to represent an attribute with two or more distinct categories (Skrivanek & Statistician, 2009). Dummy variables are created in this situation to trick the regression algorithm into correctly analyzing attribute variables. In this research, there are 12 dummy variables and *manufacturing industry* is set as default. “1” and “0” are used to express these dummy variables. Particularly, “1” and “0” indicate whether or not a certain company belongs to a certain industry, respectively.

Research context

The research context for this study is Vietnam, which over last three decades has been undertaking a transition from a state-controlled to a market driven economy, with the aim of becoming more integrated with world markets (Pham et.al, 2016). The campaign for privatization started in 1992 but not until 1996 was officially implemented. The initiative of reforming SOEs was due to their weak financial performance. As a result, they were forced to finance capital from the banking sector, other state enterprises and other sources which created “a complex maze of cross-subsidization and indebtedness” (Sjöholm, 2006). The main causes were studied: poor management, unclear objectives, soft budget constraint and a tendency to resist changes of the managers (Kokko & Sjöholm, 1997). However, by employing of gradualism strategy by the government, the program has been intensively implemented from 2000 to 2005 with 2000 enterprises being privatized. Although the campaign in Vietnam has advantages of referring experiences from other transition economies (e.g. China, Russia, etc.), the new and modified programs have been launched recently. In other words, the guidance and regulations for the program are unstable and imperfective. Otherwise, Shleifer & Vishny (1997) study that the attributes of law regime, traditional practices and the extent of ownership and management separation would sharp the behaviour of firms toward the

privatization practice. Thus, it is sensible to conduct the study of the relationship among corporate governance, financial leverage and privatized firm performance under the context of weak governance mechanism and imperfection of legal system in Vietnam.

The data

Data (e.g. Net income, total assets, total liabilities, total equity, the proportion of outside directors on Board) was extracted from the audited financial statements of the year 2013 of all privatized firms listed on Vietnam's two biggest stock exchanges (Ho Chi Minh Stock Exchange, HOSE; website hsx.vn; and Ha Noi Stock Exchange: HNX; website: hnx.vn). These two stock exchanges have highest listing standards and capitalization. Thus, they act as drivers for the market performance (Truong, et al., 2010). Additionally, those privatized firms must be SOEs before privatization and are not in financial sector (e.g. banks, real estate, securities and insurance companies). The reason for this is that they have distinctive corporate structures and revenues models, indicated by extraordinary performance indicator (Le & O'Brien, 2010).

Practically, we selected the sample of 348 companies satisfied all mentioned requirements after removing the outliers of the sample by using the Cook's Distance. The sense of generalization of that sample size is strongly supported by basing on the numbers of employed independent variables and the estimated size of population proposed by Tabachnick and Fidell (2007) and Krejcie & Morgan (1970) respectively.

4. RESULTS AND DISCUSSIONS

In order to make sure findings in a research using a hierarchy multiple regression model have reliability, validity and generalizability of three main assumptions: outlier, sample size, and multicollinearity need to be satisfied (Tabachnick & Fidell, 2007). We checked outliers and finalized our sample with 348 companies which satisfies the sense of generalization by Tabachnick and Fidell (2007) and Krejcie and Morgan (1970). All correlation among each pair of independent variables are lower than 0.8 that revealed no existence of multicollinearity problem (Tabachnick & Fidell, 2007) (Table 1).

As shown in Table 2, for the attributes of independent variables, Debt-to-Equity ratio varied from 0.04 to 9.72. That high average ratio of Debt-to-Equity could be explained by the probable remaining of government ownership and government intervention after privatization

(Chu, 2010). In fact, it is studied that the government ownership remaining in the company's ownership structure acts as a helping hand, which provides the company an ease of approaching to various debt financial resources with several favorable policies (e.g. lower interest rate, longer maturity, etc.) (Le & O'Brien, 2010).

Meanwhile, the proportion of Non-Executive Directors on Board ranged from 0 to 1. In other word, there were some companies absolutely having no outside directors on Board while few firms entirely employed outside directors on their Board. Regarding the required ratio of NEDs composition on Board under Circular No. 121/2012/TT-BTC, the variable's mean of 59% complied with the required ratio just 33%. That relatively high proportion of NEDs on Boards of privatized firms in Vietnam could be seen as a good signal of regulatory compliance and a significant restructuring of top management after privatization

For Return-on-Equity, it had maximum of .53 and minimum of -0.53. According to Strong (2009), ROE which is within a range from 10% to 15% represents attractive levels of investment quality. In other world, the process of privatization in Vietnam in 2013 generally appeared effective and sufficient with average ROE of 13%.

Findings

As shown in Table 3, when the main effect variables are entered into the model, the adjusted R^2 increased to 0.167 ($p < 0.05$), suggesting that the items included in Model 2 are useful predictors. Particularly, the unstandardized coefficients of beta for Debt-to-Equity and Non-Executive Directors on Board variables are -0.013 ($p = 0.04 < 0.05$) and -0.079 ($p = 0.019 < 0.05$) respectively. Thus, it sounds to accept H1 and H2 with high confidence.

Finally, when the interaction effects are also added (Model 3), the results suggest that this provides the best overall model fit (adjusted $R^2 = 0.196$) for predicting firm performance. Additionally, it has statistically significant value $p < 0.05$, so H3 is of high confidence to accept.

Discussion

Finding 1 - Firstly, it is empirically evident that there was an adverse relationship between financial leverage and firm performance for all Vietnamese privatized companies in 2013. Although several previous papers have studied a positive correlation between these variables, it fails to apply for the emerging markets, including Vietnam. In fact, the two most distinguished

characteristics of developed markets from emerging ones are the weak corporate governance and ineffective law enforcement. In more details, the weak corporate governance mechanism (e.g. a close relationship between Board of Supervisor and Board of Directors, no involvement of outside directors on Board, a lack of regular information disclosure, the existence of asymmetry of information, etc.) fails to perform its controlling role and keep the interest alignment between shareholders and managers (Chu, 2010). Thus, it allows the managers to freely invest into highly risky and unprofitable projects. If loss occurs, it will be shared among the shareholders and the managers have no significant interest impact. Especially, it is more worth paying attention on the practice of aligning interest between shareholders and managers in the case of privatization, which involves a great number of new shareholders and top management restructuring (Dharwadkar, et al., 2000). If there still remains such a weak corporate governance mechanism in the organization, most shareholders, especially the minority, have no effective tools to exercise and protect their rights and benefits. Consequently, the managers probably capture those loopholes to manipulate the business operation, particularly the use of debts, and financial data to benefit their interests. Furthermore, the immature law regime appears not to protect rights of debt holders and shareholders as well. According to Law on Bankruptcy 2004, it is ambiguous to determine whether or not a certain company fails into insolvency. Those reasons should be clarified as objective (i.e. general economic conditions) or subjective (i.e. the company's own faults of investing into unfavorable projects or proposing wrong strategies). Because there is such an existence of an ease to file a petition to commence bankruptcy procedures and the amount of bankrupt value is equally shared among shareholders according to their proportion of ownership, the managers may have a tendency to freely make investment decisions by using the debt financed from outside sources. As a result, it could detrimentally affect on the firm profitability and then the shareholders' wealth as well. Generally speaking, in the current context of the Vietnamese economy, it is sound to conclude that the privatized companies maintain a negative relationship between financial leverage and firm performance in 2013.

Basing on what have been argued for the adverse relationship between financial leverage and financial firm performance for privatized firm in Vietnam, there are some solutions appearing essential to improve that relationship. It is sensible to regularly hold meeting among shareholders and the managers to not only transparently communicate the business operation status but also utilize the resources from those shareholders to improve the effectiveness of firm performance

(Pfeffer, 1972). Additionally, with huge sources of capital for the privatized companies to finance, it is necessary to build a proactive strategy to capture and utilize the capital. It means to base on a deep understanding of business objectives (e.g. key products or projects, dividend policies or profitability targets) and market conditions (e.g. government financial policies, industry-related information, etc.) to employ an appropriate level of debts and rationally and profitably allocate debts into investments.

Finding 2 –The second test result has supported to what the research hypothesized about the relationship between the proportion of NEDs on Board and the financial firm performance. It could be explained by some reasonable reasons. To start with, these NEDs may have a close relationship with the management. In this case, the NEDs probably cooperate with these managers to behave on behalf of their own interest instead of the shareholders (Chen & Huang, 2014). In other words, they fail to present their expected roles of controlling the performance of management. Those arguments appear plausible by some empirical examples in Vietnam during the recent time. One of the biggest corruptions of the privatized companies which still maintain a large proportion of State ownership is Vinashin Business Group in 2010 (Hoang, 2012). It was investigated the loss of over 26.3 billion USD coming from an ambiguous decision to buy unqualified ships for transporting gasoline and raw oil. Besides, another disappearance of approximately 19 billion USD by investing into hydroelectricity (i.e. not belong to its scope of operation) has caused a significantly huge loss for the government. One of the primary reasons for that noticeable corruption is the weakness of corporate governance mechanism (Ta, 2012). In particular, there is a close relationship (i.e. family relationship) between Board of Directors, Board of Management and Board of Supervisors. The members of those Boards cooperated with each other to ignore ambiguous actions. They sophisticatedly received the bribe from the ship sellers to make irrational decisions although the ship was unqualified. Due to such the weak controlling capacity, there was no immediate intervention into that decision that causes a detrimental impact on firm profitability as well as the government budget (Hoang, 2012).

Another reason probably advocating that adverse relationship is that the NEDs might appear not to have enough expertized knowledge and inadequate experience to well adapt into a new business environment. Although *Resource Dependence Theory* supports the view that those NEDs are expected to bring updated knowledge, network and other business-related resources to

the company, it may be true only if the company hires appropriate people. Practically, a large number of Vietnamese privatized firms still maintain State ownership in the ownership structure after privatization (Hoang & Le, 2013). The decision to hire outside directors is influenced by the State owners. However, the weak governance mechanism might not ensure the hiring process to be public, evident and transparent. That process is probably relationship-driven (Chu, 2010). Consequently, the company may involve the inappropriate outside directors who can be considered as obstacles for the managers to perform their roles. In fact, if the outside directors do not have relevant experience and adequate knowledge (e.g. a lack of market understanding and customers' needs), it appears tough to accurately understand the business operation to have effective supervision on the operation management of the companies. Besides, according to Bhagat and Black (1997), the involvement of unsuitable people into the corporate structure can be seen as a cost for the business. Thus, such the lack of expertized knowledge and inadequate experience of NEDs has high probability to lead to the decrease in firm and shareholders' value.

Last but not least, it can be criticized by basing on the Stewardship theory (Donaldson, 1991). It empowers the managers to perform their jobs in the most effective ways, so the NEDs are just expected to give advice and consult based on their own experience. Some psychological problems may incur as there is a deep interfere of NEDs into the management performance instead of playing a role as a consultant. Regarding hierarchy of needs proposed by Maslow, the managers can feel uncomfortable and fail to reach self-actualization if they are not empowered and actually respected. It makes the managers not be able to put all their enthusiasm and try their best to achieve the business and shareholders' goals. As a result, the company's value is predicted to fail and it also affects to the shareholders' value to a certain extent. In short, when appointing a new NED, the company must well define what role they expect the NEDs to perform to recruit the competitive and adequate people.

Finding 3 – It indicates that the poor performance of NEDs on Board would make the use of debts less effective resulting in poor firm profitability. That statement can be approached by two perceptions, company and whole economic levels. First of all, on the same flow of argument from Test 2 discussions, NEDs who do not perform their expected roles of controlling could create a loophole for the managers to manipulate the employment of debts. Particularly, basing on the support from State owner in most privatized firms, the companies are quite easily to approach

several sources of debt finance with a great number of favorable policies. Such an ease of financing and the weak supervising mechanism probably let the managers make irrational investment decisions. In practice, some companies pour a significant amount of debt finance into some fields beyond their scope of operation that are highly risky because they do not have capacity and experience in those industries

Additionally, another subjective reason could be the interest conflict among different positions held by a certain outside directors at different companies. It is studied that NEDs can involve more jobs outside the company (Mura, 2007; Chen, 2014). Different companies will definitely have distinguished objectives, so it sometimes causes conflict for the outside directors to perform their roles at specific firms. It could detrimentally impact on the effectiveness of the business operation.

Looking for the whole Vietnamese market, it is operated by the regime of "*market-oriented economy driven by the attributes of socialism*". Because it is a new mechanism and just started in 1990s, there are not many theoretical researches as well as practical studies about its operation in details (Le & O'Brien, 2010). Indeed, that regime operates by the involvement of a good few of sorts of business in most industries and allows the participants to freely compete. However, the government still maintains a dominant role in some main fields, such as energy, transportation or financial markets (Temkin, 1996). Such a short time of that regime implication in Vietnam with no many practical experiences appears challenging for the outside directors to understand the case of privatization under those new market conditions. Particularly, how to effectively manage a privatized business, especially utilizing the advantage of the easy access to several sources of finance, still needs time to deeply study. Thereby, it could explain for the lack of relevant experience of the outside directors that results in their poor performance of controlling role. Besides, the use of debts is just efficient only if it is put under a well governed mechanism. Therefore, in such weak corporate governance due to the lack of outside directors' experience, the negative causal relationship between financial leverage and financial firm performance could be worse. As discussed above, the involvement of inappropriate outside directors can be seen as a cost for the business (Bhagat & Black, 1997). Therefore, the fewer the number of NEDs on Board are, the better the relationship between financial leverage and financial firm performance will be.

5. CONCLUSION

The study predominantly investigated the moderating effect of corporate governance on the causal relationship between financial leverage and firm performance. By adopting the moderator conceptual model of Baron and Kenny (1986), it revealed three main findings being entirely in contrast to what have been studied in developed markets. First of all, it is demonstrated that the higher level of debt the privatized companies employed, the lower level firm performance would be. Secondly, it studied the negative relationship between the proportion of NEDs on Board and the firm performance. Last but not least, the higher proportion of NEDs on Board would strengthen the negative association between financial leverage and firm performance for all privatized enterprises in Vietnam. Although it is encouraged to have the NEDs on Board by the Vietnamese Government, the practice totally differentiates from the theories and applied policies. Thus, if the privatized companies want to appoint new NEDs on Board to improve independence of Board and then enhance the firm value, they need to pay attention to the current financial leverage level, organizational, ownership structures and the experience the NEDs have.

For the contribution of this research, it is worth mentioning some key explorations. First, the managers can be beneficial by using the regression equation showing the relationship between financial leverage and firm performance to determine an appropriate capital structure with their business objectives. What is more, another contribution worth noting is that this research gives a foundation for the institutional and individual investors to forecast the firm performance of a certain privatized company. It can be based on the current level of debt the company employed. From this estimation, they can effectively and profitably make investment decision. Additionally, it is pretty true to say that this research enriches the managerial and financial literature for further researches relating to corporate governance and leverage in the context of emerging markets.

Besides, the three main limitations of the study are also recommendations for further studies to address. First, this study just draws a general picture among financial leverage, the combination of NEDs on Board and firm performance for whole privatized firms in Vietnam. However, due to the variation of industries, the extent of these relationships among distinguished industries may be different. Thus, it will be better if there are some researches more deeply exploring those relationships for each industry. It will be more meaningful for the practice of privatized firms' operation in each sector. Second, all arguments in this study are mainly based on

the context of weak corporate governance and ineffective legal regime in Vietnam until 2013. However, the researcher concerns whether the development of legal framework and governance context would replace those studied relationships in the future. On the other hand, an alternative interesting research question is to what extent improvement in corporate governance would produce efficient management of debts? These issues deserve further exploration and discussion. Last, the methodological matter of moderation testing should be considered. Several researchers have addressed several issues of traditional moderated multiple regression adopted in this study (Mansfield and Helms, 1982; Baron and Kenny, 1986). Conventionally, the equation of Moderated Regression assumes linear relationship between variables. However, it was argued that a different higher-order trend may be a better model to predict the moderating effect (Shleifer & Vishny, 1997). Another problem with the model is the presence of interaction term which causes reduction in reliability level. Indeed, the reliability of the interaction term is the product of each variable's reliability index (Bohrnstedt & Marwell, 1978). As a consequence, future studies can search for improvement in alternative models which better fit the data./.

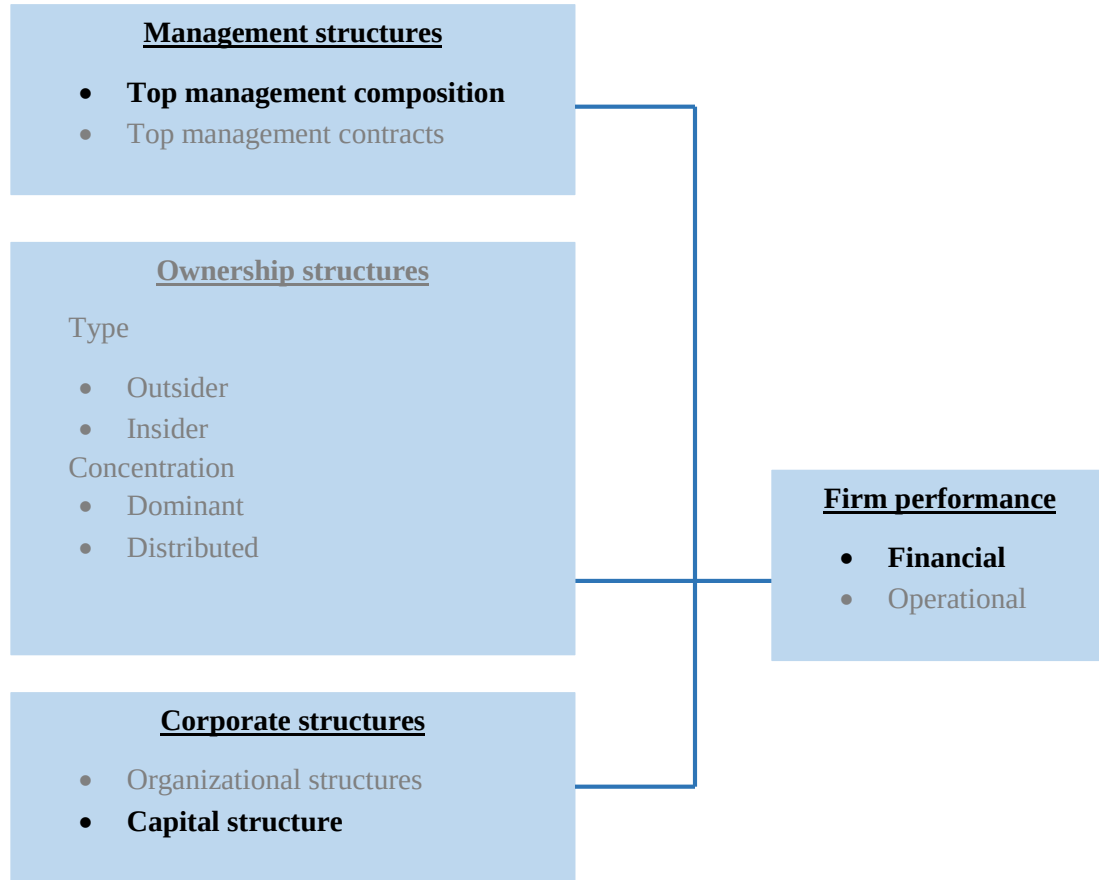
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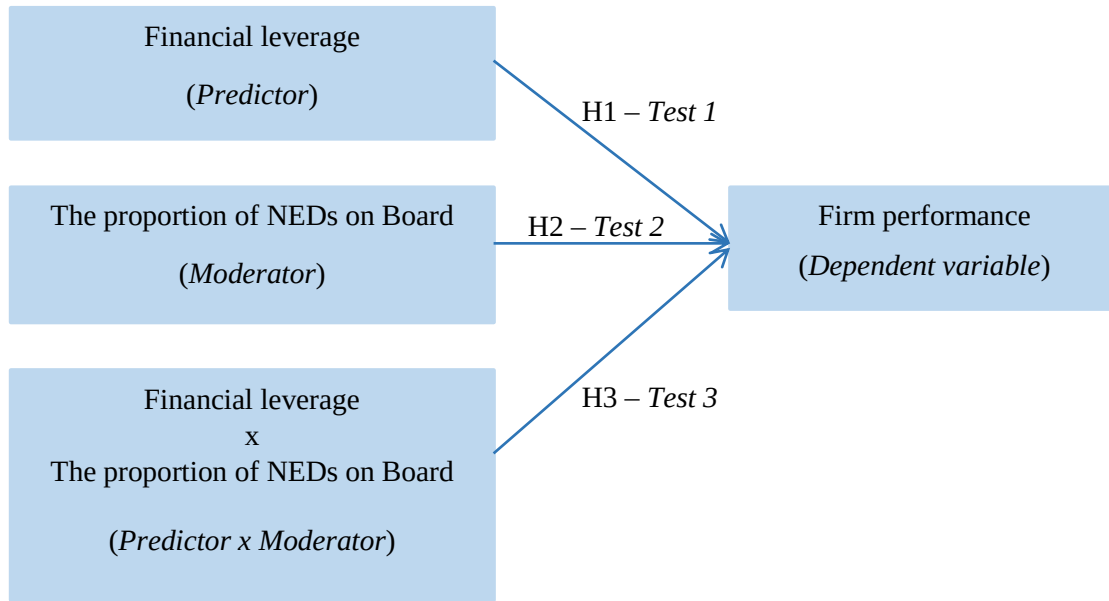
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Figure 1: Agency theory framework for privatization in emerging markets*(Source: Dharwadkar et al., 2000)***Table 1: Multicollinearity identification**

		D/E	NEDs	DE*NEDs
D/E	Pearson Correlation	1		
	Sig. (2-tailed)			
NEDs	Pearson Correlation	-.106*	1	
	Sig. (2-tailed)	.049		
D/E*NEDs	Pearson Correlation	.772**	.222**	1
	Sig. (2-tailed)	.000	.000	

*. Correlation is significant at the 0.05 level (2-tailed).

**. Correlation is significant at the 0.01 level (2-tailed).

Figure 2: Moderator model adopted from Baron and Kenny (1986)**Table 2: Descriptive statistics**

Year 2013 (n=348)	Range	Minimum	Maximum	Mean	Std. Deviation
Debt-to-Equity	9.68	.04	9.72	1.5703	1.59833
Non-Executive Directors	1.00	0	1.00	.5825	.18951
Return-on-Equity	1.05	-.53	.53	.1277	.12029

Table 3: The moderating effect of NEDs on Board on the relationship between D/E and ROE in Year 2013

	Model 1			Model 2			Model 3		
	Unstandardized Coefficients	Sig.	VIF	Unstandardized Coefficients	Sig.	VIF	Unstandardized Coefficients	Sig.	VIF
	B			B			B		
(Constant)	-0.046	0.709		-0.104	0.396		-0.114	0.345	
Firm size	0.007	0.144	1.076	0.011	0.019	1.155	0.010	0.030	1.159
Industry 1	0.190	0.000	1.046	0.181	0.000	1.050	0.184	0.000	1.051
Industry 2	0.091	0.002	1.117	0.104	0.000	1.136	0.101	0.000	1.136
Industry 4	0.010	0.705	1.150	0.018	0.486	1.161	0.017	0.480	1.161
Industry 5	0.033	0.530	1.034	0.039	0.449	1.039	0.036	0.484	1.040
Industry 6	-0.044	0.006	1.411	-0.026	0.134	1.645	-0.023	0.171	1.649
Industry 7	-0.016	0.478	1.199	-0.013	0.574	1.204	-0.012	0.589	1.204
Industry 8	0.014	0.572	1.151	0.028	0.270	1.198	0.024	0.347	1.201
Industry 9	0.015	0.730	1.056	0.025	0.574	1.077	0.018	0.688	1.080
Industry 10	-0.078	0.050	1.062	-0.080	0.041	1.062	-0.078	0.042	1.062
Industry 11	-0.042	0.530	1.037	-0.023	0.734	1.045	-0.024	0.711	1.045
Industry 12	0.028	0.588	1.033	0.045	0.389	1.044	0.045	0.379	1.044
Industry 13	-0.037	0.483	1.037	-0.022	0.665	1.046	-0.026	0.610	1.046
D/E	-	-	-	-0.013	0.004	1.324	0.006	0.396	3.396
NEDs	-	-	-	-0.079	0.019	1.105	-0.016	0.669	1.445
DE*NEDs	-	-	-	-	-	-	-0.032	0.001	3.257
F-statistic	4.034			4.445			5.046		
Sig.	0.000			0.000			0.000		
R-Squared	0.136			0.167			0.196		
R-Squared change	0.136			0.032			0.029		
Sig. F change	0.000			0.002			0.001		